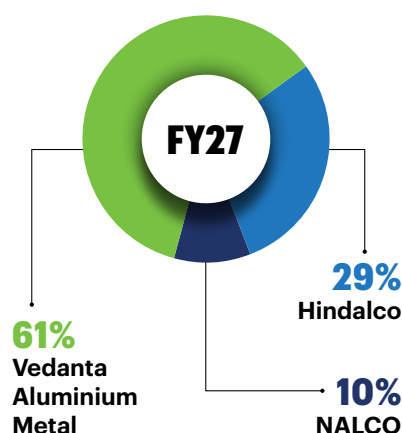
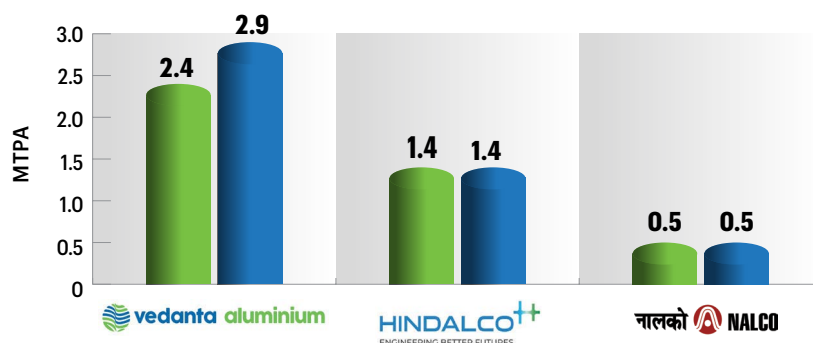


VEDANTA ALUMINIUM V/S OTHERS

MARKET SHARE



CAPACITY



■ IN 3QFY26 (IN MTPA)* ■ FY27 ESTIMATE (IN MTPA)

*MTPA—MILLION TONNES PER ANNUM

SOURCE COMPANIES, KOTAK INSTITUTIONAL EQUITIES

been. “I really don’t think of it. The focus is very clearly on the five companies and what we can do with natural resources,” adds Agarwal.

WHAT LIES AHEAD?

There is a background to the recent demerger of Vedanta Ltd. In May 2020, its board approved a proposal of the promoter, Vedanta Resources, to delist the company. Through a postal ballot, over 90% of shareholders gave the green signal.

When the process began in October, it could not be completed after the company fell short (by 7%) of the threshold of 90% shares tendered by public shareholders. All this was in the midst of the pandemic when valuations across the market took a hit.

“The shareholders were unhappy with the delisting price (₹87.5 per share when the stock traded at ₹79.6) and voted against the proposal. The subsequent metals upcycle and recovery of the global stock market meant the delisting would have occurred at lower valuations,” says Shriram Subramanian, Founder and Managing Di-

rector of InGovern Research Services, a corporate governance advisory firm.

Since then, a lot has changed, driven by a desire to reduce the debt of Vedanta Resources, which is the rationale behind the high dividend payout from its Indian subsidiary. “One result of the demerger is that, in a worst-case scenario where a substantial portion of debt needs to be repaid at Vedanta Resources, the promoters can sell Vedanta Resource’s shareholding in any one or more of the demerged companies,” he explains.

As India steps up investments in manufacturing and infrastructure, Vedanta’s businesses are well placed to benefit. The demerger has also given the group a simpler structure at a time when reducing debt remains a priority. The bigger test, however, lies in execution. Delivering on a \$20-billion investment plan while maintaining cost leadership across businesses will determine whether Agarwal’s latest bet pays off. It is a story that investors will be watching closely. **BT**

@krishnagopalan